

26SMCV01716 26SMCV01716

County: los-angeles
Division: Civil Law and Motion
Department: 207
Hearing date: 2026-06-29
Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=BH%20%2C207%2C06%2F29%2F2026
Source SHA-256: 37fe891648aab0d143996816853b803ea8d8cc1e69414d10dbc9c64786e4522c

Case Number: 26SMCV01716 Hearing Date: June 29, 2026 Dept: 207

TENTATIVE
RULING

DEPARTMENT

207

HEARING DATE

June
29, 2026

CASE NUMBER

26SMCV01716

MOTION

Demurrer

MOVING PARTY

Defendant
Ryan Shuler

OPPOSING PARTY

Plaintiff

Richard Abbitt

MOTION

This case arises from a dispute between real estate business partners.

On April 1, 2026, Plaintiff Richard Abbitt ("Plaintiff") brought suit against Defendant Ryan Shuler ("Defendant") alleging five causes of action for (1) fraud; (2) breach of fiduciary duty; (3) breach of contract; (4) conversion; and (5) constructive trust.

Defendant now demurs to the first, second, fourth, and fifth causes of action on the grounds that they fail to state facts sufficient to constitute causes of action pursuant to Code of Civil Procedure section 430.10, subdivision (e). Plaintiff opposes the demurrer and Defendant replies.

ANALYSIS

1.

DEMURRER

"It is black letter law that a demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) In testing the sufficiency of a cause of action, a court accepts "[a]s true all material facts properly pled and matters which may be judicially noticed but disregard contentions, deductions or conclusions of fact or law. [A court also gives] the complaint a reasonable interpretation, reading it as a whole and its parts in their context." (290 Division (EAT), LLC v. City & County of San Francisco (2022) 86 Cal.App.5th 439, 450 [cleaned up]; Hacker v. Homeward Residential, Inc. (2018) 26 Cal.App.5th 270, 280 ["in considering the merits of a demurrer, however, "the facts alleged in the pleading are deemed to be true, however improbable they may be"].)

Further, in ruling on a demurrer, a court must "liberally construe" the allegations of the complaint "with a view to substantial justice between the parties." (See Code Civ. Proc., § 452.) "This rule of liberal construction means that

the reviewing court draws inferences favorable to the plaintiff, not the defendant.” (Perez v. Golden Empire Transit Dist. (2012) 209 Cal.App.4th 1228, 1238.)

In summary, “[d]etermining whether the complaint is sufficient as against the demurrer on the ground that it does not state facts sufficient to constitute a cause of action, the rule is that if on consideration of all the facts stated it appears the plaintiff is entitled to any relief at the hands of the court against the defendants the complaint will be held good although the facts may not be clearly stated, or may be intermingled with a statement of other facts irrelevant to the cause of action shown, or although the plaintiff may demand relief to which he is not entitled under the facts alleged.” (Gressley v. Williams (1961) 193 Cal.App.2d 636, 639.)

A.

FAILURE TO STATE A CAUSE OF ACTION

i.

First Cause

of Action – Fraud by Concealment

“In California, fraud must be pled specifically; general and conclusory allegations do not suffice.” (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) “This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered.” (Ibid.)

“One of the purposes of the specificity requirement is notice to the defendant, to furnish the defendant with certain definite charges which can be intelligently met.” (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1356, 1384.) As such, less specificity is required “when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy[.]” (Ibid.) “Even under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party.” (Ibid.)

“The required elements for fraudulent concealment are (1) concealment or

suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if he or she had known of the concealed or suppressed fact; and (5) plaintiff sustained damage as a result of the concealment or suppression of the fact.” (Hambrick v. Healthcare Partners Medical Group, Inc. (2015) 238 Cal.App.4th 124, 162.)

“There are four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.” (Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 311.) In the absence of a fiduciary duty, “[a] duty to disclose facts arises only when the parties are in a relationship that gives rise to the duty, such as seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement.” (Ibid.)

Here, Plaintiff alleges:

7. Abbitt is a real estate broker and agent licensed by the State of California.

8. Shuler is a real estate agent also licensed by the State of California.

9. Since approximately 2018, Abbitt and Shuler have jointly engaged in representing various parties in real estate transactions prior to the transaction at issue, and have split the commissions earned on approximately 100 transactions and Abbitt had trust and confidence in Shuler as a result of these prior dealings.

10. Initially, because Shuler was just starting out, and Abbitt had decades of experience, the initial commission split was 90%/10% between them, but by 2020, and due to the low volume of transactions resulting from the Covid disruption, Abbitt and Shuler orally agreed to make the split 50%/50%. Since 2018, Abbitt and Shuler have completed many real estate transactions worth many millions of dollars, and since 2020,

have split the commissions earned on those transactions, 50%/50%.

11. Initially, Abbitt and Shuler were jointly working as agents at the Santa Monica office of Lee & Associates. Since early 2020, they have been agents at Industry Partners in Santa Monica ("Industry").

12. At Industry, by law and practice, all brokerage relationships, and commission agreements are between Industry – as broker, and the client. All commissions are earned by the broker, and paid by the client to the broker. Industry, as with all brokers, is entitled to, and does retain licensed agents like Abbitt and Shuler, to assist the broker in these transactions. Agents like Abbitt and Shuler, have their contractual relations with the broker, and not with the client, who may not contract directly with the agent. Brokers like Industry, may agree to share the commissions earned with their agents like Abbitt and Shuler. In addition, agents like Abbitt and Shuler, may agree to share in commissions paid by brokers like Industry, as long as such agreements are known to the broker and agreed to by the broker.

13. Since starting at Industry, Abbitt and Shuler have, in a written agreement with Industry, to a commission split such that approximately ten percent (10%) of the gross commission would be retained by Industry, with the remaining commission distributed to Abbitt and Shuler split 50/50%. Since beginning at Industry, Abbitt and Shuler have split the real estate commissions in this manner on approximately 25 transactions.

14. In late 2024, the team of Abbitt and Shuler attended a SOHO Malibu "Tech Event." Shuler had been a member of SOHO Malibu, but refused to renew his membership, unless Abbitt paid half of that cost. In order that they could both attend events there, Abbitt reimbursed \$7,500 of the membership renewal cost to Shuler, and the two of them participated in several events at SOHO Malibu, including the Tech Event.

15. At the Tech Event, Abbitt and Shuler met representatives of Antares Nuclear, Inc. ("Antares") and provided them with a brochure in which they presented themselves as a team that could assist Antares in locating a commercial property that would suit their needs. Included in the brochure were bios for both Abbitt and Shuler, which showed that as of that time, Abbitt had "over 40 years" experience as a real estate broker, and was a

founding partner of Lee & Associates.

16. Shortly thereafter, Antares retained

Abbitt and Shuler to locate a property they could lease to suit their needs.

Pursuant to that retention, Abbitt and Shuler issued a Letter of Intent ("LOI") on behalf of Antares to the property owner at 19501 Prairie Avenue, Torrance, CA 90503 ("Prairie Property") for an initial space of 128 thousand square feet (the "Initial Lease"). Both Abbitt and Shuler signed the LOI. Ultimately Abbitt and Shuler succeeded in securing a lease for Antares at the Prairie Property.

17. Upon consummation of that transaction in

or about January, 2025, Antares paid Industry an approximately \$750k commission, and said commission was split 10/45/45 with Abbitt and Shuler. Relative to the other transactions which Abbitt and Shuler had closed previously, this was a very substantial commission, and probably the largest that they had ever earned.

18. After consummation of the Initial Lease,

in February, 2025, Antares reached out to Abbitt and Shuler to negotiate a 17.5k square foot expansion of the Initial Lease at the Prairie Property. An additional commission was earned and paid on this expansion in late 2025, and said commission was also split between Industry, Abbitt and Shuler 10%/45%/45%.

19. In August, 2025, Abbitt went on a

two-month trip to Europe, although he remained in phone and email contact with Shuler the entire time. In September, Abbitt is informed and believes, and thereon alleges that Shuler was married.

20. Throughout 2025 and through and to the

filing of the instant Complaint, Abbitt and Shuler continue to work on real estate transactions together and have remained in regular communication and contact.

21. However, in February, 2026, Abbitt saw a

Linkedin posting that Antares had taken over the balance of the 322,000 square foot Prairie Property in a new lease transaction. The Linkedin posting was the first time that Abbitt had discovered the Antares final lease expansion.

22. After discovering the Antares final lease

expansion in February 2026, Abbitt reached out to Shuler, noted the Linkedin

posting about the Antares expansion and sought confirmation that the transaction had been handled by Industry. On February 23, 2026, Shuler confirmed that it had been and stated in a text "I started working with them [Antares] before the wedding and got the expansion completed late last year."

23. Abbitt then texted Shuler "Since we did the main lease 50/50 what's my cut?" to which Shuler responded at the end of that day "This transaction was handled solely on my end. Since you weren't involved, there is no fee allocation here and the commission has already been paid."

24. Abbitt is informed and believes, and thereon alleges that the gross commission earned by Industry on the final expansion on the Antares lease is in excess of \$1 Million. Through and to the date of this Complaint, despite his demand for "his cut," Abbitt has not been paid any portion of said commission by either Industry or Shuler.

[...]

26. Abbitt alleges that since 2018 and through and to the filing of this Complaint, that he and Shuler have been engaged in a joint venture and/or partnership, whereby they would jointly seek, earn and share real estate commissions all as alleged herein. As such, both Abbitt and Shuler are in, and have, since at least 2019, and through nearly 100 transactions, been in a fiduciary and/or confidential relationship.

27. Abbitt further alleges that as part of their joint venture/partnership, he and Shuler have presented themselves to Industry and the market in general, as a team, and have prepared and distributed marketing materials to potential clients which expressly identify Abbitt and Shuler as a joint enterprise.

28. Abbitt further alleges that he has trained Shuler, shared millions in commissions with Shuler, introduced Shuler to long standing clients, contributed to Shuler's expenses including but not limited to sharing the cost of the SOHO membership at which Antares was first met and was jointly involved and paid in the first two tranches of the transaction with Antares, including the Initial Lease and the first expansion, all as part of their ongoing joint venture.

29. Abbitt further alleges that the representation of Antares in its efforts to lease the Prairie Property, and to expand the Initial Lease, were expressly part of the joint venture and/or partnership between Abbitt and Shuler, in that the commissions for the Initial Lease and the first expansion were pursuant to jointly executed agreements, and were fully shared in compliance with the then longstanding agreement to share those commissions 50%/50% between Abbitt and Shuler.

30. Abbitt further alleges that Shuler, as a member of the joint venture with Abbitt on the Antares lease opportunity, was in a confidential relationship with Abbitt, owed fiduciary duties to Abbitt and was bound to act in the highest good faith toward Abbitt and could not obtain any advantage over him in the partnership affairs by the slightest misrepresentation or concealment.

31. Abbitt further alleges that the opportunity to work with Antares to secure the final expansion of the Initial Lease into the entire Prairie Property, was an opportunity belonging to the joint venture/partnership, and Shuler could not undertake to exploit that partnership opportunity for his own personal benefit and to the resulting detriment of Abbitt.

32. Abbitt further alleges that as a result of his confidential and fiduciary relationship with Abbitt, Shuler had a duty to disclose the opportunity to earn additional commissions, by assisting Antares in its efforts to further expand the Initial Lease, and Shuler deliberately breached that duty.

33. Abbitt further alleges that while the partnership/joint venture was ongoing, Shuler actively concealed the expansion of the Antares Initial Lease from Abbitt, actively, deliberately and maliciously concealed the fact that substantial additional commissions could be earned, were earned and actually paid, and misappropriated the entirety of said commission to himself, and to the exclusion of Abbitt.

34. In deliberately concealing the final expansion of the Antares Initial Lease, and misappropriating the commissions earned on that concealed transaction for his exclusive benefit, Shuler knew that Abbitt was unaware of what he was doing, would have intervened if he had found out, was ready, willing and available to assist on said transaction, and

was intentionally deprived of what would have been 50% of the net commission earned, but for Shuler's deceit and concealments.

35. That as a direct and proximate result of Defendants' concealment and deceit as herein alleged, the Plaintiff has suffered, and will continue to suffer, general and special damages in an amount no less than \$500,000, plus interest at the legal rate for the period between the date Plaintiffs provided said time, capital, design skill, leasing and management of the Property in reliance on the Defendants misrepresentations and the date the judgment requested herein is entered. Until this matter is fully resolved, Plaintiff will not know the full extent and nature of the damages he has suffered as a result of Defendants' fraud and misrepresentations, and Plaintiff hereby reserves the right to amend this Complaint to set forth the full extent and amount of those damages as they become known, through and including the trial in this action.

36. Plaintiff further alleges that in deliberately concealing the final Antares transaction and misappropriating Abbitt's share of the commission earned on the consummation of said transaction, and engaging in the original and continuing deceit alleged herein, the Defendants were acting in a knowing, intentional, willful and malicious manner, and in a conscious disregard of the Plaintiff's interests, and therefore, Plaintiff should be awarded punitive and exemplary damages against the Defendants.

(Complaint

¶¶ 7-36.)

Thus, the Court finds that Plaintiff alleges (1) a fiduciary relationship between Plaintiff and Defendant by virtue of their agreement; (2) Defendant's concealment of the expansion of an existing lease vis-à-vis the Prairie property and retention of Plaintiff's portion of the resulting commission thereon; (3) Plaintiff's unawareness of the details of the transaction, having found out about it only through the LinkedIn announcement; and (4) damages (the unpaid portion of the commissions on the Prairie property).

Defendant demurs on the grounds that Plaintiff does not allege the date, amount, or manner of the alleged concealment with particularity. But the precise date, amount of the transaction, and manner in which Defendant acted are very things Defendant concealed from Plaintiff. As such, they

are naturally more within Defendant's knowledge than Plaintiff's. Plaintiff has alleged, to the best of his knowledge, based on the February 2026 LinkedIn posting, that the transaction consummated sometime in late 2025. That timing, in conjunction with the other specific facts that the client was Antares, the property is the Prairie property, and the fact that Defendant acknowledged the transaction to Plaintiff but refused to pay Plaintiff his share of the commissions are sufficient to put Defendant on notice as to the specific transaction at issue.

Therefore, the Court sustains the demurrer to the first cause of action for fraudulent concealment.

ii.

Second Cause
of Action – Breach of Fiduciary Duty

“The elements of a claim for breach of fiduciary duty are (1) the existence of a fiduciary relationship, (2) its breach, and (3) damage proximately caused by that breach.” (O’Neal v. Stanislaus County Employees’ Retirement Assn. (2017) 8 Cal.App.5th 1184, 1215.)

Defendant argues that no fiduciary duty arises because no joint venture actually exists. “A joint venture requires (1) a joint interest; (2) an agreement to share profits and losses; and (3) a right to joint control.” (Weiner v. Fleischman (1991) 54 Cal.3d 476, 482.)

Specifically, Defendant argues that Plaintiff has not alleged a right to control, as required to create a true joint venture. In support, Defendant cites to Brown v. USA Taekwondo (2019) 40 Cal.App.5th 1077, review granted,[1] (2021) 11 Cal.5th 204 (hereafter Brown).

In Brown, the plaintiffs alleged negligence against the defendants premised upon a joint venture. The Court of Appeal held that allegations “on information and belief” that the defendants contributed money to the enterprise and “had a right of control in directing the conduct of the enterprise” were insufficient to allege the essential element of a joint venture that the joint venturers share in the profits and losses. (Id. at p. 1105.) Further, the appellate court held that denial of leave to amend was appropriate because the plaintiffs failed to articulate

facts that they could allege that one of the defendants shared in the profits or had a right of control over any joint venture. (Ibid.)

But Defendant has not cited any authority requiring a heightened pleading requirement to allege a breach of fiduciary duty. As such, “ultimate facts” suffice.[2] Yet, as to a joint venture, Plaintiff alleges:

9. Since approximately 2018, Abbitt and Shuler have jointly engaged in representing various parties in real estate transactions prior to the transaction at issue, and have split the commissions earned on approximately 100 transactions and Abbitt had trust and confidence in Shuler as a result of these prior dealings.

10. Initially, because Shuler was just starting out, and Abbitt had decades of experience, the initial commission split was 90%/10% between them, but by 2020, and due to the low volume of transactions resulting from the Covid disruption, Abbitt and Shuler orally agreed to make the split 50%/50%. Since 2018, Abbitt and Shuler have completed many real estate transactions worth many millions of dollars, and since 2020, have split the commissions earned on those transactions, 50%/50%.

11. Initially, Abbitt and Shuler were jointly working as agents at the Santa Monica office of Lee & Associates. Since early 2020, they have been agents at Industry Partners in Santa Monica (“Industry”).

12. At Industry, by law and practice, all brokerage relationships, and commission agreements are between Industry – as broker, and the client. All commissions are earned by the broker, and paid by the client to the broker. Industry, as with all brokers, is entitled to, and does retain licensed agents like Abbitt and Shuler, to assist the broker in these transactions. Agents like Abbitt and Shuler, have their contractual relations with the broker, and not with the client, who may not contract directly with the agent. Brokers like Industry, may agree to share the commissions earned with their agents like Abbitt and Shuler. In addition, agents like Abbitt and Shuler, may agree to share in commissions paid by brokers like Industry, as long as such agreements are known to the broker and agreed to by the broker.

13. Since starting at Industry, Abbitt and

Shuler have, in a written agreement with Industry, to a commission split such that approximately ten percent (10%) of the gross commission would be retained by Industry, with the remaining commission distributed to Abbitt and Shuler split 50/50%. Since beginning at Industry, Abbitt and Shuler have split the real estate commissions in this manner on approximately 25 transactions.

14. In late 2024, the team of Abbitt and Shuler attended a SOHO Malibu "Tech Event." Shuler had been a member of SOHO Malibu, but refused to renew his membership, unless Abbitt paid half of that cost. In order that they could both attend events there, Abbitt reimbursed \$7,500 of the membership renewal cost to Shuler, and the two of them participated in several events at SOHO Malibu, including the Tech Event.

[...]

38. Based upon the facts set forth above, Plaintiff contends that he and Defendants agreed to form and did form a joint venture partnership and/or agreement ("JVA") in 2018, and since then, have been joint venture partners and as a result, they hold a 50%/50% interest in all net commissions paid by Industry on transactions in which either or both of them were involved. Plaintiff further alleges that he has performed all of his obligations under the JVA, except for such obligations that are excused by Defendants' breaches of the JVA, as alleged herein.

39. As joint venture partners, Defendants, and each of them, knew that they were in a fiduciary relationship with Plaintiff, and have owed and continue to owe Plaintiffs, all fiduciary obligations partners owe to the other members/partners of the joint venture. Pursuant to the JVA, Shuler owes and has fiduciary duties of fidelity and loyalty, and is obligated to put Plaintiff's interests on a footing at least equal to those of Shuler.

(Complaint

¶¶ 9-14; 38-39.)

While Plaintiff has alleged (1) a joint interest in selling real estate (Complaint ¶ 9) and (2) that the parties shared in the profits (Complaint ¶¶ 10, 13, 38) and losses (Complaint ¶ 14); there are no allegations that the parties' agreement conferred on each of them a joint right to control the venture.

In opposition, Plaintiff argues that even if the Complaint does not adequately allege control, a fiduciary duty nonetheless arises due to the parties' alleged "confidential relationship."

"Fiduciary" and "confidential" have been used synonymously to describe any relation existing between parties to a transaction wherein one of the parties is in duty bound to act with the utmost good faith for the benefit of the other party. Such a relation ordinarily arises where a confidence is reposed by one person in the integrity of another, and in such a relation the party in whom the confidence is reposed, if he [or she] voluntarily accepts or assumes to accept the confidence, can take no advantage from his [or her] acts relating to the interest of the other party without the latter's knowledge or consent. Technically, a fiduciary relationship is a recognized legal relationship such as guardian and ward, trustee and beneficiary, principal and agent, or attorney and client, whereas a "confidential relationship" may be founded on a moral, social, domestic, or merely personal relationship as well as on a legal relationship. The essence of a fiduciary or confidential relationship is that the parties do not deal on equal terms, because the person in whom trust and confidence is reposed and who accepts that trust and confidence is in a superior position to exert unique influence over the dependent party.

(Barbara A. v. John G. (1983) 145 Cal.App.3d 369, 382–383, emphasis added {cleaned up}.)

Here, although the Complaint alleges that in the past, Defendant was in a superior position to Plaintiff, such that the parties split their profits at a rate of 90/10, since 2020, the parties have split profits and expenses equally. (Complaint ¶ 10.) Thus, the Complaint does not allege an unequal dynamic at the time Plaintiff concealed the Prairie property lease expansion, or that by virtue of the parties' agreement or conduct, Defendant accepted the confidence of Plaintiff and undertook not to exert undue influence over him by virtue of that unequal dynamic, to demonstrate a confidential relationship giving rise to a fiduciary duty.

Therefore, the Court sustains the demurrer to the second cause of action.

iii.

Fourth Cause
of Action – Conversion

“Conversion is the wrongful exercise of dominion over the property of another.

The elements of a conversion are the plaintiff's ownership or right to possession of the property at the time of the conversion; the defendant's conversion by a wrongful act or disposition of property rights; and damages.” (Spates v. Dameron Hospital Assn. (2003) 114 Cal.App.4th 208, 221.)

However, “[a] mere contractual right of payment, without more, will not suffice to support a claim for conversion.” (Rutherford Holdings, LLC v. Plaza Del Rey (2014) 223 Cal.App.4th 221, 233, emphasis added.) Here, Plaintiff alleges:

49. As alleged herein, and by virtue of his membership in the JVA and pursuant to his agreements with Defendants, Plaintiff owned and/or had a right to receive 50% of the net commission earned on the final expansion of the Initial Lease, which always belonged to Plaintiff, and never belonged to Defendants, although Defendants, as alleged herein, have diverted, misappropriated and improperly taken possession of said commission.

50. Defendants substantially interfered with Plaintiff's right to, use and possess his property by knowingly and/or intentionally taking possession of said share of the net commission, by misappropriating and or diverting said commission, and/or by refusing to return the commission after Plaintiff demanded its return.

51. Plaintiff did not consent to Defendant's interference with Plaintiff's possession of the commission, as described above.

52. Defendant's conduct was a substantial factor in causing Plaintiffs' harm.

53. That as a direct and proximate result of

Defendants' original, continuing and intentional conversion of the commission as alleged, the Plaintiff has suffered, and will continue to suffer, general and special damages in an amount no less than \$500,000.00, plus interest at the legal rate for the period between the date Defendants converted the commission and the date the judgment requested herein is entered. Until this matter is fully resolved, Plaintiff will not know the full extent and nature of the damages he has suffered as a result of Defendants' conversion of the commission, and Plaintiff hereby reserves the right to amend this Complaint to set forth the full extent and amount of those damages as they become known, through and including the trial in this action.

(Complaint

¶¶ 49-53, emphasis added.)

Thus, because the Complaint alleges only a right to a contractual payment, Plaintiff has not adequately alleged a cause of action for conversion.

iv.

Fifth Cause

of Action – Constructive Trust

Defendant demurs to the fifth cause of action on the grounds that constructive trust is not itself a cause of action, but merely a remedy. (See, e.g. *Glue-Fold, Inc. v. Slautterback Corp.* (2000) 82 Cal.App.4th 1018, 1023, fn. 3.)

In opposition, Plaintiff concedes this is true, but points out that Courts permit parties to plead constructive trust as a cause of action where the underlying equitable basis is adequately stated. (See, e.g. *Burlesci v. Petersen* (1998) 68 Cal.App.4th 1062, 1069.)

Indeed, the elements for the imposition of constructive trust are: (1) the existence of a res; (2) the right of the complaining party to that res; and (3) some wrongful acquisition or detention of the res by another party not entitled to it. (*Communist Party v. 522 Valencia, Inc.* (1995) 35 Cal.App.4th 980, 990.)

But here, as demonstrated by the Court's sustaining of Defendant's demurrer to the fourth cause of action for conversion, Plaintiff has not adequately alleged the existence of a res requiring the imposition of a

constructive trust. Rather, money damages suffice to remedy Plaintiff's only remaining cause of action for breach of contract.

2. LEAVE TO AMEND

A plaintiff has the burden of showing in what manner the complaint could be amended and how the amendment would change the legal effect of the complaint, i.e., state a cause of action. (See *The Inland Oversight Committee v. City of San Bernardino* (2018) 27 Cal.App.5th 771, 779; *PGA West Residential Assn., Inc. v. Hulven Int'l, Inc.* (2017) 14 Cal.App.5th 156, 189.) A plaintiff must not only state the legal basis for the amendment, but also the factual allegations sufficient to state a cause of action or claim. (See *PGA West Residential Assn., Inc. v. Hulven Int'l, Inc.*, supra, 14 Cal.App.5th at p. 189.) Moreover, a plaintiff does not meet his or her burden by merely stating in the opposition to a demurrer or motion to strike that "if the Court finds the operative complaint deficient, plaintiff respectfully requests leave to amend." (See *Major Clients Agency v Diemer* (1998) 67 Cal.App.4th 1116, 1133; *Graham v. Bank of America* (2014) 226 Cal.App.4th 594, 618 [asserting an abstract right to amend does not satisfy the burden].)

Here, Plaintiff argues that he can amend the complaint to allege:

(1) specific facts regarding the joint decision-making and day-to-day operation of the joint venture to further support joint control; (2) the specific gross and net amount of the final Antares commission; and (3) additional detail regarding the timeline and mechanics of Shuler's concealment.

(Opposition at p. 13:21-24.)

While these proposed facts could cure the deficiencies for the breach of fiduciary duty and fraud causes of action, they would not cure the deficiencies vis-à-vis the causes of action for conversion or constructive trust.

In opposition, Plaintiff relies on *Voris v. Lambert* (2019) 7

Cal.5th 1141, 1151 as standing for the general proposition that once Plaintiff can identify the exact amount of money owed, his contractual right to commission payments can similarly constitute property for purposes of a conversion claim.

But

in *Voris*, the Supreme Court specifically denied the plaintiff employee's right to maintain a conversion claim on the basis of unpaid wages, explaining, "where the money or fund is not identified as a specific thing the action is to be considered as one upon contract or for debt—or perhaps upon some other appropriate theory—but not for conversion."

(*Voris v. Lampert* (2019) 7 Cal.5th 1141, 1151, citing *Baxter v. King* (1927) 81 Cal.App. 192, 194.)

Indeed,

"California cases permitting an action for conversion of money typically involve those who have misappropriated, commingled, or misapplied specific funds held for the benefit of others."

(*PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP* (2007) 150 Cal.App.4th 384, 396, emphasis added.)

For example, in *Fischer v. Machado*

(1996) 50 Cal.App.4th 1069, the defendant converted funds from the sale of a farm the defendant sold on behalf of defendant as defendant's agent. The underlying real property and resulting funds from the sale were always the plaintiff's property, which the defendant only acquired in his capacity as the plaintiff's agent. Thus, the defendant's retention of those funds was the wrongful conversion of the plaintiff's property.

Similarly, in *Weiss v.*

Marcus (1975) 51 Cal.App.3d 590, 599, the litigant's new counsel failed to pay former counsel the amounts owed from a settlement received, despite having notice of former counsel's lien. The lien established former counsel's legal right to a portion of the settlement funds received, which new counsel wrongfully converted by disbursing it to the client instead of to former counsel.

Thus,

the core problem is not that Plaintiff has failed to allege the specific dollar amount owed, but rather that Plaintiff has alleged only a contractual right to commission payments, not the wrongful retention of a fund or account held in

trust that can be properly characterized as Plaintiff's property. Plaintiff has proffered no facts that can cure this fundamental deficiency with his conversion and constructive trust claims. Rather, Plaintiff alleges only a claim for money damages.

CONCLUSION AND ORDER

For the reasons stated, the Court sustains without leave to amend Defendant's demurrer to Plaintiff's fifth and sixth causes of action, and sustains with leave to amend Defendant's demurrer to Plaintiff's first and second causes of action.

Further, the Court orders Plaintiff to file and serve the amended complaint in conformance with this ruling on or before July 6, 2026.

Further, the Court will enter the proposed Order lodged on May 19, 2026 in conformity with the ruling.

Defendant shall provide notice of the Court's Order/ruling and file the notice with a proof of service forthwith.

DATED: June 29, 2026 _____/s/_____

Michael
E. Whitaker

Judge
of the Superior Court

[1] The Supreme Court's decision focused solely on the issues of duty in particular whether there was a special relationship (no) and whether the Rowland factors could establish a duty to protect in the absence of a special relationship (no).

The California high court did not address or otherwise upend the Second District Court of Appeal's holding with respect to the adequacy of the joint venture allegations.

[2] Ultimate facts are those "constituting the cause of action" or those upon which liability depends, e.g., duty of care, breach of the duty and causation

(damages). (See *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550.)

“[T]he term ultimate fact generally refers to a core fact, such as an essential element of a claim. Ultimate facts are distinguished from evidentiary facts and from legal conclusions.” (Central Valley General Hosp. v. Smith (2008) 162 Cal.App.4th 501, 513 [cleaned up]; see also *Rodriguez v. Parivar, Inc.* (2022) 83 Cal.App.5th 739, 750–751 [“The elements of a cause of action constitute the essential or ultimate facts in a civil case”].)